

Tenet: Determine the Value

In 2012, Heinz reported \$923 million in net income, \$342 million in depreciation and amortization charges, and \$418 million in capital expenditures, leaving shareholders with \$847 million in owner earnings. But in the company's annual report we note that \$163 million was an after-tax charge for severance, asset write-downs, and other implementation costs. Adding back these nonoperational expenses, we can estimate that the company generated about \$1 billion in owner earnings.

Using a two-stage dividend discount model, we estimated the company would grow its \$1 billion in owner earnings at a 7 percent rate for 10 years, then 5 percent thereafter. Discounting the cash flows at 9 percent (which is the cost of the preferred stock Berkshire contributed to the deal) produces an estimated per-share value of \$96.40. At a slower 5 percent constant growth rate in perpetuity, the company's shares would be worth \$82.10. Considering that the company has grown its earnings per share at an 8.4 percent compounded annual growth rate over the past five years, and knowing that the next five years will see a larger portion of its earnings coming from the rapidly growing emerging markets, I would argue these valuation estimates are very conservative.

Tenet: Buy at Attractive Prices

If the company can grow at 7 percent for 10 years then 5 percent thereafter, Buffett bought the shares at a 25 percent discount to intrinsic value. At the very conservative estimated growth rate of 5 percent, he bought the company at a 12 percent discount. Admittedly, these are not the margin-of-safety discounts we usually see in Buffett's purchases. But the attractiveness of the Heinz purchase goes beyond the usual discount formula.

Berkshire Hathaway and the Brazilian private equity firm 3G Capital will each own half of Heinz for \$4 billion in equity. To that, Berkshire invested \$8 billion in redeemable preferred stock yielding 9 percent. The preferred shares also have two other attractive features for Berkshire. First, at some point in the future the preferred will be redeemed at a significant premium; second, the preferred shares come with warrants that will allow Berkshire to